

Trading Update!

20th December 2021

Shareholders and the public are advised that on Friday 10th December 2021, Umeme Limited (the Company) released the details for its 2022 distribution tariff submission via a public tariff hearing following the application to the Electricity Regulatory Authority. Section 3.3.2 of the Licence for Electricity Supply Number 048, 2005 requires the Company to prepare and submit a tariff application 60 days before the start of the tariff year to enable the Electricity Regulatory Authority (ERA) to determine the retail tariff to be charged to customers.

The Company's application reflects a weighted average distribution price of Ushs 170.5 per kWh to be included in the end-user base retail energy tariffs, to recover the Company's projected investment and operating costs and is subject to approval by ERA.

We are cautiously optimistic that positive economic activity signals in 2021 will strengthen into 2022, supported by higher Covid19 vaccination levels, albeit the Omicron variant spread and improving investor sentiment amidst the anticipated full re-opening of the economy in early January 2022.

Electricity Demand

In 2021, we continue to register a 10% growth in electricity demand compared to the 0.6% of 2020. The industrial category is growing at 11%, commercial SMEs at 12% and domestic at 6.3%. For the ten months to October 2021, 2,900GWh were sold compared to 2,645 for the same period in 2020. This continued growth has a positive impact on further investments in the electricity industry and underlying real reduction in electricity tariffs.

We welcome the initiatives by the Government to promote productive use of energy through the pilot industrial parks tariff, cooking tariff and declining block tariff for domestic users. This is projected to improve the generation plants utilization capacity leading to broad reduction in tariffs.

In the tariff application, we assumed continued growth in energy demand at 10% in the 2022 tariff year.

Customer Connections

The customer connections to the grid have increased to 125,744 for the 11 months to November 2021 compared to 57,000 that were completed in 2020. Of the total connection 53,562 were fully funded by customers and the balance through the government subsidization programme. We also connected 98 industrial customers and 851 commercial SME customers over the period. The total customer base stands at 1.6 million, reflecting a 9% growth compared to 2020.

We continue to engage with the Government to avail funding for the pending 217,000 applications for connection to the grid, as outlined in the Electricity Connections Policy.

For the pre-payment rollout, 99% of the domestic

Capital Investments

Some of the key capital investment projects embarked on during 2021 include:

- Tororo-Mbale and Hoima-Kinyara interconnection lines to address the growth in electricity demand and network operational efficiency in the Elgon and the Bunyoro regions.
- Nakasamba power station and integration lines in Entebbe.
- Conversion of 30,000 post-paid customers to pre-paid metering.
- Line refurbishments in Kamuli, Kibimba, Bubulo, Fort-Portal, Kisubi and Kampala south.
- Reconfiguration and supply stabilization in Naalya, Najjeera, Buwate, Namugongo and Ntinda belt.
- Transformer zones upgrades in various parts of the country to address the growing electricity demand and ensure network reliability.
- Network automation projects; We continue to focus on investments in the distribution system, for supply reliability, technical loss reduction, safety and distribution capacity enhancement.

Priorities for the 2022 Tariff Year

The key focus areas for the tariff year 2022 that will improve service to our customers include:

Investment in the distribution network to facilitate the growth in demand expected in 2022.

Connection of at least 317,282 new customers to the grid subject to availability of funding from the Government and partners per the Electricity Connections Policy targets.

Improvement in operational efficiency through reducing energy losses to 14% from current 17.5% and achieving a revenue collection rate of 99.8%.

Investments in technology to automate service delivery and internal processes, improve visibility and the performance of network assets and the replacement of the billing and vending systems.

Supply reliability improvements through feeder refurbishments and pole replacements for the worst performing feeders.

Management